

Court No. - 28

Case :- WRIT - C No. - 58738 of 2007

Petitioner :- M/S Sijaria Ice Gramodhyog Sultanpura & Others

Respondent :- State Of U.P. & Others

Petitioner Counsel :- Ajay Bhanot, G.S. Chauhan, Nikhil Kumar

Respondent Counsel :- C.S.C., Rajesh Tripathi

Hon'ble Bala Krishna Narayana, J.

Heard Sri Nikhil Kumar, learned counsel for the petitioner, learned Standing Counsel for the respondent nos. 1 and 4 and Sri Rajesh Tripathi, learned counsel for the respondent nos. 1 and 2.

The petitioner M/s Sijaoria Ice Gramodhyog is alleged to be a proprietorship firm engaged in the business of manufacturing Ice. The petitioner was granted a power connection with a sanctioned load of 4 H.P. by the Dakshinanchal Vidhut Nigam Limited-respondent no. 2 and the petitioner's power connection number is 061924. The petitioner alleges that the electricity dues are being regularly paid by the petitioner. On a certain occasion petitioner was asked to pay illegal gratification to some officials of the respondent-Corporation, but the petitioner declined to do so and as a result, on the basis of an ex parte inspection of the petitioner's power connection on 26.06.2006, it was allegedly found that the petitioner was consuming electricity unauthorizedly and as a result of which a First Information Report was lodged against the petitioner for an offence punishable under Section 135 Electricity Act on 27.06.2006. Thereafter, a notice purporting to be a provisional bill was served upon the petitioner on 30.06.2006 requiring him to show cause as to why a sum of Rs.9,40,633/- be not recovered from him as electricity dues and penalty for the unauthorized consumption of electricity by the petitioner, copy of the notice / provisional bill is annexed as Annexure -2 to the writ petition. The petitioner alleges that although the allegations to which the petitioner was required to submit his reply were based upon the inspection dated 26.06.2006, but copy of the spot inspection report was not given to him. Petitioner submitted his reply to the show cause notice on 15.07.2006, copy whereof is filed as Annexure-3 to the writ petition. In his reply petitioner vehemently denied the allegations made against him. However, the Assessing Authority-respondent no. 3 rejected the petitioner's objection by his order dated

23.02.2007, copy whereof is filed as Annexure-5 to the writ petition. Against the aforesaid order, the petitioner preferred an appeal under Section 127 of the Electricity Act, 2003, before respondent no. 4, which was numbered as Appeal No. 03/2006-07, and dismissed by order dated 05.10.2007, copy whereof is filed as Annexure-7 to the writ petition. The petitioner has made a prayer for quashing the orders dated 23.02.2007 and 05.10.2007 (Annexures-5 & 7 to the writ petition), passed by respondent no. 3 and 4.

Learned counsel for the petitioner submitted that the petitioner's objection against the provisional assessment was rejected by the respondent no. 3 in extremely arbitrary manner without considering the grounds raised by the petitioner in his objection. He further submitted that the provisional assessment had been made by the respondent no. 3 by giving a complete go by to the mandatory requirement of paragraph 6.8 (a)(v) and 6.8.(c) (i) of U.P. Electricity Supply Code, 2005, as the petitioner was neither supplied with the inspection report alleged to have been prepared by the team which has inspected the petitioner's premises on 26.06.2006, nor he was afforded any opportunity of hearing. Learned counsel for the petitioner further submitted that before the Appellate Authority-respondent no. 4, the order passed by the respondent no. 3 was challenged on several grounds including the ground that the respondent no. 3 had rejected the petitioner's objections filed by him against the provisional assessment without assigning any reason by a non-speaking order which did not reflect any application of mind. But, the Appellate Authority did not advert to any of the grounds on which the petitioners had challenged the order of the respondent no. 3 including the above mentioned ground and dismissed the petitioner's appeal with the observation that the inspection team had found that petitioner was consuming electricity unauthorizedly.

Sri Rajesh Tiwari, learned counsel for the respondent nos. 2 and 3 made his submissions in support of the impugned orders and strenuously urged that the orders challenged in the writ petition do not suffer from any illegality or infirmity and, therefore, no interference is called for by this Court.

Heard learned counsel for the parties and perused the pleadings of the parties as well as the impugned orders.

Record shows that a notice was issued to the petitioner on 30.06.2006 by the respondent no. 3, requiring him to show cause as to why an amount of Rs.9,40,633/- be not recovered from him towards the electricity dues on account of unauthorized consumption of electricity, for the period he had indulged in theft of the electricity. Petitioner submitted his reply to the show cause notice on 15.07.2006. The show cause notice contains allegations which are based upon the inspection report prepared by the members of the inspecting team which had raided the petitioner's premises on 26.06.2006 and found that petitioner consuming electricity unauthorizedly, but there is no material on record which may show that the copy of the inspection report was made available to the petitioner or not. Thus, in absence of the supply of the copy of inspection report to the petitioner, it was not at all possible for the petitioner to submit an effective reply to the show cause notice. The record further shows that no opportunity of hearing as contemplated under paragraph 6.8. (c) (i) of the Electricity Code was been afforded to the petitioner by the respondent no. 3 before rejecting his objections. A perusal of the memo of appeal preferred by the petitioner, before the respondent no. 4, against the order of respondent no. 3, copy whereof has been held as Annexure-6 to the writ petition, shows that the order of the Assessing Authority was challenged by the petitioner on thirteen grounds including the ground that the order of Assessing Authority was bad on account of the failure of the respondent no. 3 to supply the copy of the inspection report to the petitioner and to afford opportunity of hearing to the petitioner before confirming the provisional assessment bill.

I have carefully gone through the order of the Appellate Authority and I am constrained to observe that there is absolutely no consideration in the order of the Appellate Authority of the grounds on which the order of the assessing authority-respondent no. 3 was assailed before him. The Appellate Authority in his order has merely referred to facts of the case, the allegations made against the petitioner and reiterated the recitals contained in the order of the respondent no. 3 and dismissed the petitioner's appeal abruptly by holding that it was found by the inspection team that the petitioner was consuming electricity unauthorizedly and hence the order of the respondent no. 3 did not require any interference.

There cannot be any dispute about the fact that the Appellate Authority having been conferred the appellate powers under a statute performs judicial functions. For arriving at any conclusion it is necessary that after nothing the arguments, reasons may be given for either accepting or rejecting the same at it is only the process of thought which can make the conclusion so arrived to become a subject matter of scrutiny by a higher forum and thus in the event of arriving at a conclusion there is no process of reasoning, no thought in respect of the matter in issue has been expressed on the arguments so advanced, it cannot be said to be an order in the eye of law.

It is clear from the order of the Appellate Authority that he was not applied his mind to the facts and arguments and in a most cursory manner he has dismissed the appeal.

As the orders of the Appellate Authority has been found to be faulty for the reasons indicated herein above this Court does not propose to go into the merits of the various submissions advanced by the learned counsel for the petitioner on the basis of which he has tried to demonstrate that the order passed by the Assessing Authority is liable to be set aside as it is the function of the Appellate Authority to deal with the same and record reasons and finding upon which it is to be judged by this Court."

In view of the above, the order passed by the Appellate Authority cannot be sustained in the eyes of law and is liable to be set aside. Writ petition is allowed in part. The order dated 05.10.2007 (Annexure-7 to the writ petition) passed by the respondent no. 4 is quashed. The petitioner's Appeal No. 03/2006-07 is restored. The matter is remitted back to the Commissioner, Jhansi Division, Jhansi (respondent no. 4), who will decide the appeal afresh in accordance with law after affording opportunity of hearing to all concerned within a period of six weeks from the date of production of certified copy of this order. Till the petitioner's appeal is decided, recovery of electricity dues from the petitioner shall remain stayed.

Order Date :- 18.3.2010

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